



CUSTOMER CHURN ANALYSIS

Understanding Customer Retention & Churn drivers

Contract

All

Internet Service

All

Tenure Group

All



Total Customers

7,043



Churned Customers

1,869



Churn Rate

26.54%



Avg Tenure (Months)

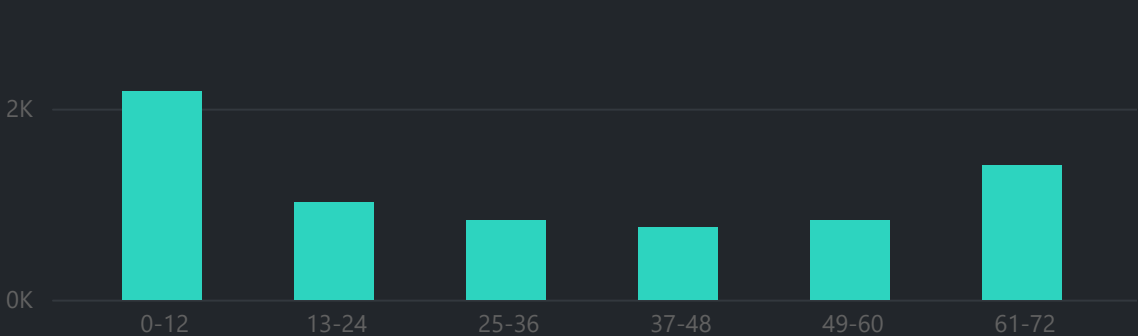
32



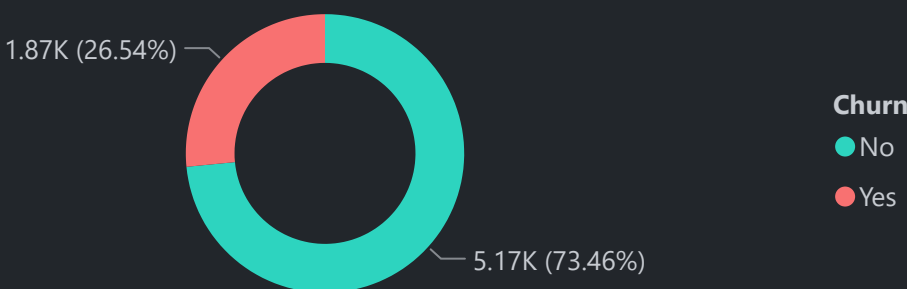
Avg Monthly Charges

65

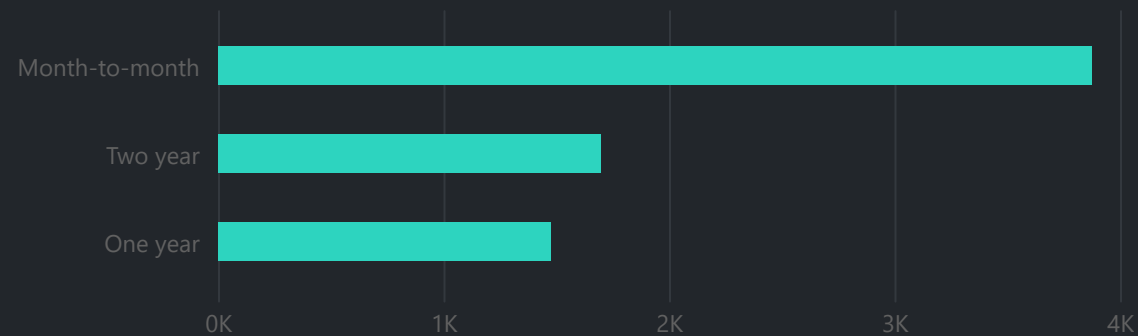
Customer Distribution by Tenure



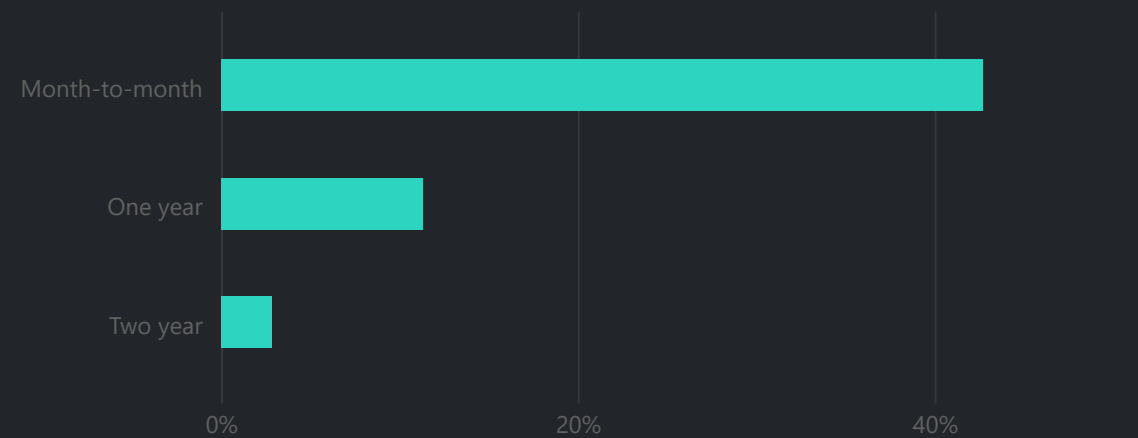
Churn vs Retained Overview



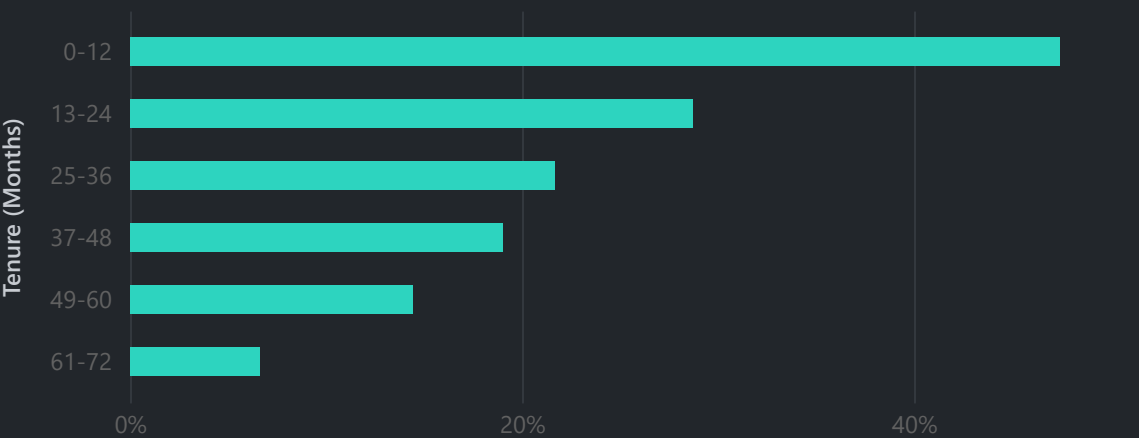
Customer Distribution by Contract



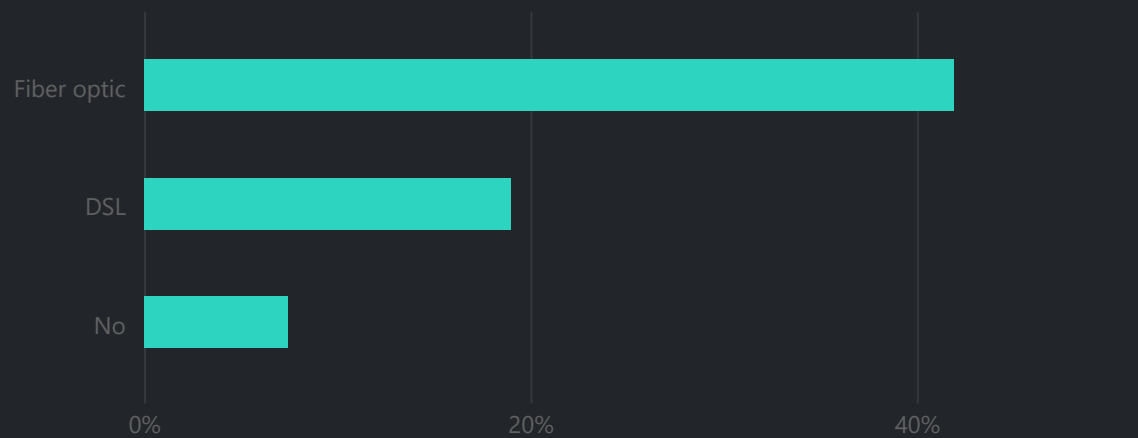
Churn Rate by Contract Type



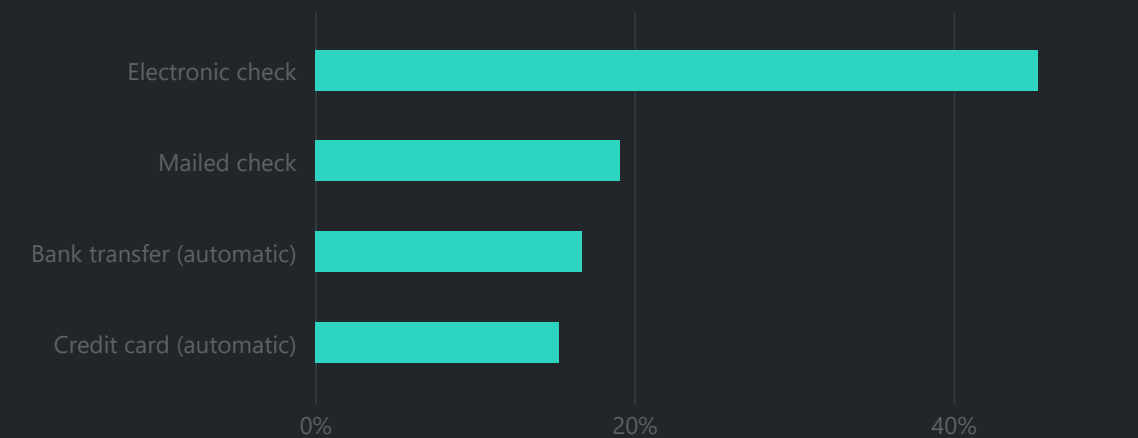
Churn Rate by Tenure Group



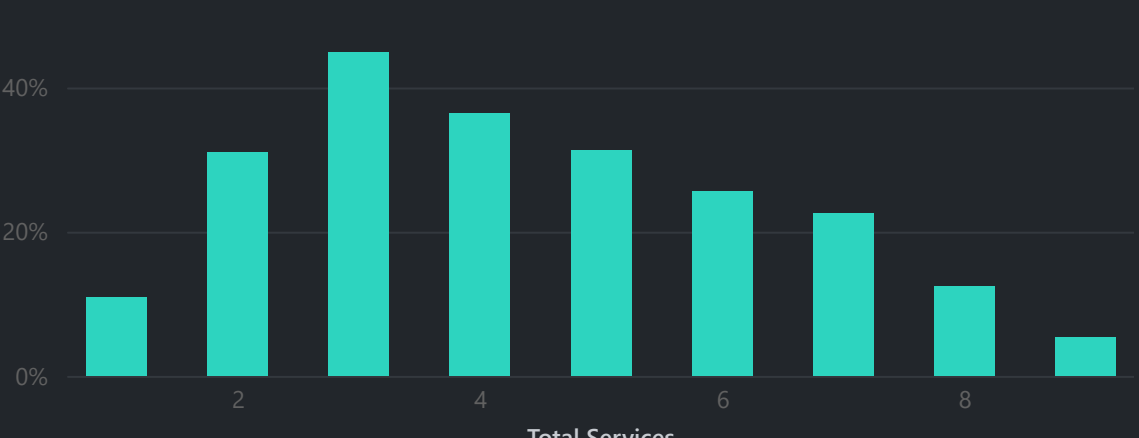
Churn Rate by Internet Service



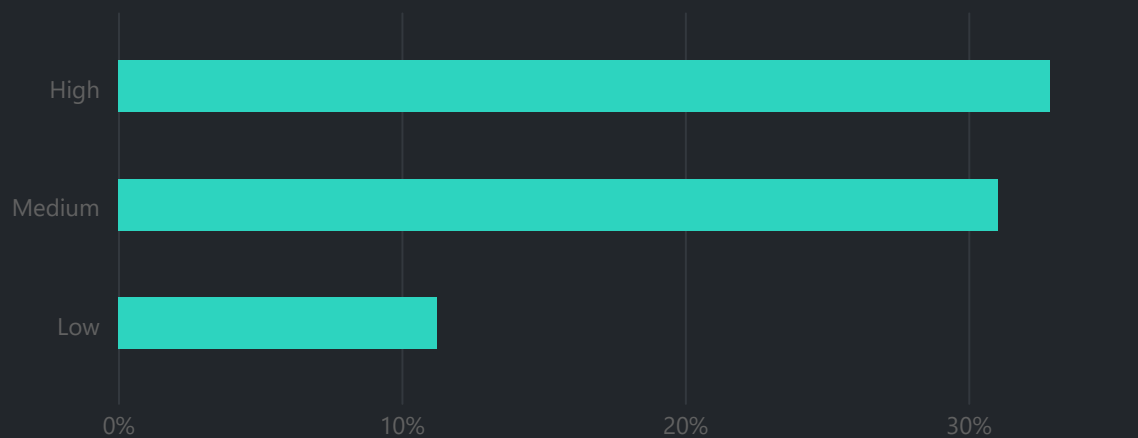
Churn Rate by Payment Method



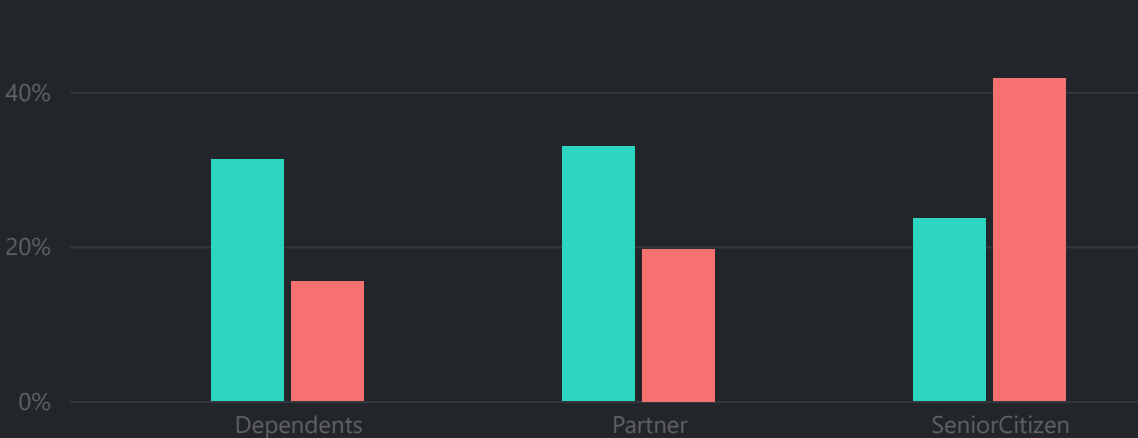
Churn Rate by Total Services



Churn Rate by Monthly Charges Group



Churn Rate by Demographics



Key Insights & Recommendations

- Month-to-month contracts drive churn** — customers on month-to-month plans churn at 42.7%, nearly 15x higher than two-year contract holders (2.8%), and make up 55% of the entire customer base. Recommend incentivizing longer-term contracts through loyalty discounts or migration offers.
- Churn is highest in the first year** — customers in their first 12 months show the steepest churn risk, declining sharply as tenure increases. Retention efforts should be front-loaded into the first year, particularly the first few months.
- Fiber optic customers are the highest-risk segment** — despite being the premium service, fiber optic churns at 41.9%, nearly double DSL (19.0%) and 6x higher than customers with no internet service (7.4%). This warrants investigation into pricing, reliability, or competitive pressure specific to fiber markets.
- Electronic check payments strongly correlate with churn** — customers paying via electronic check churn at 45.3%, roughly 3x higher than customers on automatic payment methods (bank transfer: 16.7%, credit card: 15.2%). Migrating these customers to autopay could be one of the most effective retention levers available.
- Service adoption follows a critical risk window** — churn peaks at 44.9% for customers with just 3 total services, then steadily declines to 5.3% for customers with 9 services. Customers with basic internet but few add-ons (like security or tech support) represent the highest-risk zone — upselling these services could meaningfully reduce churn.
- Household structure matters** — senior citizens churn at 41.7% (vs. 23.6% for non-seniors), and customers without a partner (33.0%) or dependents (31.3%) churn roughly twice as often as those with a partner (19.7%) or dependents (15.5%). Single, independent customers and seniors represent segments worth targeted retention outreach.